The One Percent Per Week TQQQ Trading Strategy:

FINANCING THE OPPW

by: Guy R. Fleury

This article's primary purpose is to provide ideas on how to finance my version of the **One Percent Per Week** TQQQ trading strategy. If you already have enough money to start it going, congratulations, and forge ahead. For those who lack sufficient capital or are seeking more, the following should give you some ideas to consider to get the most from this outstanding trading strategy.

The OPPW strategy can generate an average long-term return of about 1% per week, as demonstrated in my previous articles.[1]

The OPPW strategy aims for an average compounded return of more than 60% per year. The latest 15-year simulation achieved ∼56% CAGR, which is very commendable. Very few strategies reach those levels over the long term. Yet, anyone could achieve such performance levels simply by using the OPPW strategy.

As we all know, higher returns imply higher market risks. We should look at the nature of those risks. Evaluate if we find them acceptable or at least bearable. If not, consider alternative investment methods. The market fluctuates constantly and is inherently volatile. That is its nature. It has been the case for over two centuries.

The historical long-term Sharpe ratio for the S&P 500 index is approximately 16%. The S&P 500 index could spend 95% of its time within two sigmas: $2\sigma = |\pm 32|\%$. Your expected drawdown, investing in SPY, should typically be less than -32%.

However, again, historically, we have seen SPY with lower drawdowns. Some even fell below the -50% mark, but all those price declines have since recovered. That might be the most critical point: all recovered with time. You can expect to see new historical highs in the years to come as the index continues to fluctuate and rise to higher levels.

If you enter the market and it drops by -50%, you will not like it.

The problem is that you do not know beforehand whether you are entering the market at the low or high end of a short-term price move.

You will only know after the fact. Nonetheless, over the long term, all those low points eventually recovered. The linear regression on all those data points (even those spanning over 200 years) will still yield a positive slope. I remember the 22% drop

[1] See the list at the end of this article.

during the 1987 market crash. Take a current chart, and you will be hard-pressed to identify it at a glance. It will only appear as a slight dip in price; yet, in a single day, the market was down -22%.

If the market risk is evaluated at -50% and you only experience -20 to -30% drops, were you really at -50% risk if all those price declines eventually recovered? The nature of risk is not the market's volatility. Your market risk is more how much you can or, more specifically, how much you will accept to lose, voluntarily or involuntarily.

When putting capital in a stock position, it is not the entire amount that is at risk. You are playing for the return $\pm r_i$, the price variation on that trade. And what is at risk is $-r_i \cdot q_i$ and not the whole position. If a stock goes up or down by 5% in a week, your risk is that -5%. And it becomes a loss only if you cash out at the lower price.

If your stock drops -50% and then recovers, you have no loss. If you knew this would happen, were you really at risk? One problem would be that after a -50% drop, your stock continues to decline and drops into bankruptcy. That is not a good scenario; it can happen, and there is no rebound from there. Understandably, you need protection against those scenarios.

One easy way to avoid those bankruptcies altogether is to pick something like QQQ. You will not see any of the top 100 highest-valued stocks go bankrupt anytime soon. Certainly not while they are part of QQQ. You will still experience drawdowns, but nothing close to bankruptcy, and would thereby be assured of seeing new market highs given time. Some say you are not diversified enough if you play only one stock. I would argue that playing QQQ is diversified enough, as you are investing in the top 100 stocks held in the QQQ ETF.

We have to set a time frame for our endeavor. If you have a short-term -30% drawdown on your portfolio, you also identified your first long-term -30% drop. There could be more of those coming your way. However, since the market recovers over time and ventures to new heights, it should remove some of the apprehensions, stress, and anxiety we might have when managing our long-term portfolios.

You are not dealing with a single stock; you are playing with the weighted average of 100 stocks when using QQQ. In doing so, you also have taken the bankruptcy gambit out of the picture. What is left is: will QQQ continue to trend higher?

The loss you have that does not impact your initial capital does not have the same weight as the one that does. You made 100% and had a -30% decline; you are still left with a 40% gain on your capital. Whereas a -30% drop on your initial capital will leave you with 70% of your initial stake. One is more bearable than the other.

THE BASIC FUTURE VALUE FORMULA

My OPPW strategy aims to deliver, on average, one percent per week; its equation is straightforward:

$$F(t) = F_0 \cdot (1 + 0.01)^{52 \cdot t}$$

where t is in years. That is 67% compounded per year. It is also the strategy's long-term objective. Over 15 years, that would be 780 weekly trades.

The first question is: Can my version of this strategy achieve an average growth rate of 1% per week? Can it also maintain that average over the long term?

Based on my 28 articles on the OPPW strategy over the past year, the answer to both questions is yes. At least, the published backtests over the past 15 years have demonstrated as much.

My version of the OPPW strategy even experienced a -54% drawdown and subsequently recovered. However, there were mitigating circumstances for that particular drawdown. It occurred during the May 2010 Flash Crash, which lasted about 39 minutes, and where you could not have done anything except make the situation worse by liquidating your positions as you were reaching the bottom of that momentary drop.[2]

Regardless of what you do in trading stocks, you will eventually experience a 50% drawdown. It will delay your progress by one doubling time.[3]

If you average 4 years to double your portfolio, it should take about 4 years to recover from that drop. That is a lot of wasted time. Nonetheless, you will get it back; it's just that you will have to put in the time and continue investing in the same manner that made you positive in the first place.

Two successive 50% drawdowns will leave you with 25% of your capital, making it harder to crawl back to break even; you would need two doubling times to get there. Explicitly stating you need some form of protection from those drawdowns.

YOU NEED CAPITAL TO PLAY THE GAME

To profit from my version of the OPPW strategy, you need capital. Without it, you have no game.

If you do not have the capital, one solution is to borrow the money. Then, you gain the responsibility of paying back that loan. You could also view it as someone investing in you and your abilities in exchange for a return on their investment.

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[2] Preset stop-loss limit orders in the books above -40% would nonetheless have been executed.

[3] Refer to my 2012 article: **On Doubling Time**.

Whatever the trading strategy we want to implement, we can use a payoff matrix to represent it:

$$F(t) = F_0 + \sum_1^N (\mathbf{H} \cdot \Delta \mathbf{P}) = F_0 \cdot (1 + \bar{g})^t \tag{1}$$

where $(\mathbf{H} \cdot \Delta \mathbf{P})$ is the n-row by m-column payoff matrix. The last line of this matrix gives the cumulative total profit from all the m stocks in the portfolio. We can express any trading strategy whatsoever in this fashion. The OPPW strategy is no exception.

Why express any strategy as a payoff matrix? Only to make the point that whatever the outcome of your trading strategy, you can convert it to the equivalent of a compounding growth rate over its investment period, which is what equation (1) states where we sum the outcome of the N trades: $\sum_1^N (q_i \cdot r_i)$.

To extract the growth rate, we rearrange equation (1):

$$\left[\frac{F_0 + \sum_1^N (\mathbf{H} \cdot \Delta \mathbf{P})}{F_0} \right]^{1/t} - 1 = \bar{g}$$

All the price variations, all the erratic and chaotic fluctuations, whatever they might have been, are reduced to this simple compounded return $\pm \bar{g}$. With it, we can compare the outcome of different strategies or the impact of our trading procedures within the same strategy. Any trading strategy, whatever its outcome will reduce to some $\pm \bar{g}$.

BORROWING THE MONEY

Your trading strategy can make, on average, $\bar{g}_1$ due to its trading methods. It does not matter which ones since you have a payoff matrix to describe it, stating equation (1) holds. While you would like to promise a $\bar{g}_2$ return to your lender or investor.

A critical aspect of this loan is that your future stock portfolio can serve as collateral for your loan.

The strategy is either in TQQQ or in cash, and you can liquidate your TQQQ position at a moment's notice (within seconds). Throughout every weekend, your portfolio is entirely in cash. Based on portfolio simulations, your market exposure was approximately 52%, meaning you achieved your average 1% per week by being in the market only 52% of the time.

If $\bar{g}_1 = \bar{g}_2$, then you are working 100% for your client's or lender's benefit. You get nothing as compensation since:

$$F(t) = F_0 \cdot (1 + \bar{g}_1)^t - F_0 \cdot (1 + \bar{g}_2)^t = 0 \tag{2}$$

It is the same as:

$$F(t) = F_0 \cdot \left[(1 + \bar{g}_1)^t - (1 + \bar{g}_2)^t \right]$$

Equation (2) has some importance since if $\bar{g}_1$ is not greater $\bar{g}_2$, you have nothing in hand. You would be partly paying, with your own money, your client's return.

It is only with $\bar{g}_1 > \bar{g}_2$ that you will be making money on that kind of operation. We can approximate the long-term expected average return to $\bar{g}_2$ as the long-term market expectation.

Nonetheless, $\bar{g}_1$ will also operate in the same trading environment. Making the case that it would be easy to have $\bar{g}_1 \approx \bar{g}_2$ and not make that much from managing someone else's portfolio for 15 years. It is often why investment funds charge an annual management fee to ensure they at least make some money.

You will need different tools, programs, and skills that may go beyond traditional stock trading methods, which, on average, produce returns comparable to the market average, which stands at approximately 10% over the long term.

For example, if you can get, on average, $\bar{g}_1 = 0.12$ over 15 years, you should get: $F(t) = F_0 \cdot (1 + 0.12)^{15} = 5.47 \cdot F_0$ after those 15 years.

I want to emphasize that the outcome could only occur after 15 years of trading. It is not an instantaneous result. You need a long-term view of your project. Nevertheless, 5.47 times your initial capital after 15 years is not a significant increase. You should do better. At the very least, you should want more.

It is when you can raise $\bar{g}_1$ above average market levels that you can take advantage of borrowing your investment capital.

For example, with a trading method that can achieve an average 20% return, you could borrow at 10% and invest that money at 20%. You would get:

$$F(t) = F_0 \cdot \left[(1 + 0.20)^{15} - (1 + 0.10)^{15}\right] = 11.23 \cdot F_0$$

You had no money to start with and now you have in hand, after 15 years, 11.23 times what you borrowed and your client has 4.18 times their investment at a 10% rate of return.

For sure, it is less than if you had the money to begin with: $(1 + 0.20)^{15} = 15.41$. But you did not have it, which is why you borrowed the needed initial capital in the first place.

It is better to have $11.23 \cdot F_0$ than $0.0 \cdot F_0$. You would still make more than $1.1 million from that $100,000 loan and still pay back your lender $418,000.

You borrowed the initial capital and earned a 17.49% return on that borrowed money. It becomes acceptable since, in the first place, you didn't have any money. Rewarding your clients is a way to express gratitude for the opportunity they provided you.

You also have a tremendous tool in my version of the OPPW trading strategy. You have the know-how on the inner workings of this trading strategy and can apply it to the TQQQ ETF, a 3x-leveraged version of the QQQ ETF.[4]

From the outset, you can expect more volatility, as TQQQ aims to achieve three times the daily return of QQQ.

QQQ has a slightly higher long-term return than SPY.[5]

By using TQQQ as your trading portfolio, you changed the picture. You can now have equation (2) with numbers like:

$$F(t) = F_0 \cdot \left[(1+0.50)^{15} - (1+0.12)^{15}\right] = 432.42 \cdot F_0$$

You borrowed $100k, made $43,242,032 for your effort and your client gets $547,356 for having trusted you to do the job.

You changed the outcome considerably.

You should reward your lenders better to motivate them to lend you the money.

Could you not give them a 20% return?[6] That scenario would still give you $42,248,687 since:

$$F(t) = F_0 \cdot \left[(1+0.50)^{15} - (1+0.20)^{15}\right] = 422.48 \cdot F_0 \tag{3}$$

while your lender would get: $1,540,702.

We are starting to see that this endeavor could be more than interesting. You would make good, and your lender would make good. It's at least better than holding and getting SPY's long-term average.

GOING FOR BETTER LONG-TERM BENEFITS

All my articles on this strategy have demonstrated the long-term benefits you can reap, especially the last one[7] where it was shown you would not lose even if the market were totally random. The coded trading procedures used would save the day, especially the Type-C trades, which had the unique mission to produce absolutely nothing.

From equation (2), we obtain the formula for building an investment fund using borrowed money as long as we can repay our lenders/investors.

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4 Find a copy of my version of the program in my free book: **Gain Your Financial Freedom**.

5 From Google: QQQ's average return last 10 years: 17.62%, while SPY stood at 12.67%.

6 That is the same long-term return as achieved by Berkshire Hathaway.

7 **The One Percent Per Week TQQQ Trading Strategy: THE GAME YOU WILL WIN**.

Since we can get a 50%+ return using my version of the OPPW strategy, let's start with that.

Figure #1: OPPW Portfolio at 50% – Payout at 20%. 15 years.

Init. Cap.	Year	----Outcome----	--Payout--	-- Your Net --	Cost %
$ 100,000	1	150,000	120,000	30,000	80.000%
$ 100,000	2	225,000	144,000	81,000	64.000%
$ 100,000	3	337,500	172,800	164,700	51.200%
$ 100,000	4	506,250	207,360	298,890	40.960%
$ 100,000	5	759,375	248,832	510,543	32.768%
$ 100,000	6	1,139,062	298,598	840,464	26.214%
$ 100,000	7	1,708,594	358,318	1,350,276	20.972%
$ 100,000	8	2,562,891	429,982	2,132,909	16.777%
$ 100,000	9	3,844,336	515,978	3,328,358	13.422%
$ 100,000	10	5,766,504	619,174	5,147,330	10.737%
$ 100,000	11	8,649,756	743,008	7,906,747	8.590%
$ 100,000	12	12,974,634	891,610	12,083,024	6.872%
$ 100,000	13	19,461,951	1,069,932	18,392,019	5.498%
$ 100,000	14	29,192,926	1,283,918	27,909,008	4.398%
$ 100,000	15	43,789,389	1,540,702	42,248,687	3.518%

(*Click here to enlarge*)

Figure #1 takes a $100k starting capital using the OPPW strategy and pays out 20% per year to the lender. For any year, and as the years increase, the resulting payout and net also increase while the average overall cost decreases.

The longer you stay invested, the more you and your lender make. If the loan lasted for at least ten years, it would start to represent an interesting outcome. But it would be much better if the loan lasted 15 years.

The starting capital of $100k represents an initial position of 1,428 TQQQ shares at the current price of $70.00 per share. TQQQ trades over 115 million shares per day. Your participation will go unnoticed.

You help someone get 20% on their capital over 15 years and, at the same time, make yourself $42,248,687. On the 15th year, your cost would be 3.5% of the total outcome, giving your lender $1,540,702 on her or his $100k.

Even there, you can still do better. For one, you could borrow more.

Raising the initial stake to $1 million would give Figure #2 below. All we did was add a zero to the initial capital. Notice that it did not change the overall percent costs.

The Cost % column is the same as in Figure #1. Your lender invested more and earned more. You made more, and yet, your total cost as a percentage of the outcome stayed the same.

Figure #2: OPPW 1 Million Portfolio at 50% – Payout at 20%. 15 years.

Init. Cap.	Year	----Outcome----	--Payout--	-- Your Net --	Cost %
$1,000,000	1	1,500,000	1,200,000	300,000	80.000%
$1,000,000	2	2,250,000	1,440,000	810,000	64.000%
$1,000,000	3	3,375,000	1,728,000	1,647,000	51.200%
$1,000,000	4	5,062,500	2,073,600	2,988,900	40.960%
$1,000,000	5	7,593,750	2,488,320	5,105,430	32.768%
$1,000,000	6	11,390,625	2,985,984	8,404,641	26.214%
$1,000,000	7	17,085,938	3,583,181	13,502,757	20.972%
$1,000,000	8	25,628,906	4,299,817	21,329,089	16.777%
$1,000,000	9	38,443,359	5,159,780	33,283,579	13.422%
$1,000,000	10	57,665,039	6,191,736	51,473,303	10.737%
$1,000,000	11	86,497,559	7,430,084	79,067,475	8.590%
$1,000,000	12	129,746,338	8,916,100	120,830,237	6.872%
$1,000,000	13	194,619,507	10,699,321	183,920,186	5.498%
$1,000,000	14	291,929,260	12,839,185	279,090,076	4.398%
$1,000,000	15	437,893,890	15,407,022	422,486,869	3.518%

(*Click here to enlarge*)

Borrowing a 1 million dollar for your portfolio would earn you $422,486,869 with no additional effort on your part. Instead of taking a 1,428-share position in TQQQ, it would raise the quantity to 14,285 shares. It is still relatively small compared to the daily trading volume of TQQQ. Managing the strategy would still take less than 5 minutes per week, even though you may want to increase monitoring as the years pass.

There is an incentive in all this to go for the long term and the higher initial capital. Figure #2 is undoubtedly worth the effort to find the added initial funds. It did not change the OPPW strategy. You only increased the money at work, and since the strategy is 100% scalable, it would still yield Figure #2.

INCREASING THE GROWTH RATE

To increase performance, consider increasing the growth rate.

Let's jump to a 60% average return. Not many modifications to the program would be needed to reach that level. However, the impact would be considerable.

Based on Figure #3 below, using the OPPW strategy, over those 15 years, you would now have reached the billion-dollar mark for your effort. Your payout cost decreased to 1.3% of your gains.

You get a billion and only have to pay out 1.3% of the total on what was borrowed money from the start. It becomes a super great deal for you.

I think you should take better care of your lender(s) or investor(s). You made a billion and only paid them back $15 million.

Having your lenders earn 20% on their investment is noteworthy. For example, it is comparable to the long-term return of Berkshire Hathaway.

Figure #3: OPPW 1 Million Portfolio at 60% – Payout at 20%. 15 years.

PAYOUT SCHEDULE: Loan = $1,000,000 or 10 loans of $100,000. Payout Return: 20%

Init. Cap.	Year	----Outcome----	--Payout--	-- Your Net --	Cost %
$1,000,000	1	1,600,000	1,200,000	400,000	75.000%
$1,000,000	2	2,560,000	1,440,000	1,120,000	56.250%
$1,000,000	3	4,096,000	1,728,000	2,368,000	42.187%
$1,000,000	4	6,553,600	2,073,600	4,480,000	31.641%
$1,000,000	5	10,485,760	2,488,320	7,997,440	23.730%
$1,000,000	6	16,777,216	2,985,984	13,791,232	17.798%
$1,000,000	7	26,843,546	3,583,181	23,260,365	13.348%
$1,000,000	8	42,949,673	4,299,817	38,649,856	10.011%
$1,000,000	9	68,719,477	5,159,780	63,559,696	7.508%
$1,000,000	10	109,951,163	6,191,736	103,759,426	5.631%
$1,000,000	11	175,921,860	7,430,084	168,491,777	4.224%
$1,000,000	12	281,474,977	8,916,100	272,558,876	3.168%
$1,000,000	13	450,359,963	10,699,321	439,660,642	2.376%
$1,000,000	14	720,575,940	12,839,185	707,736,756	1.782%
$1,000,000	15	1,152,921,505	15,407,022	1,137,514,483	1.336%

(*Click here to enlarge*)

GIVING MORE INCENTIVES

Every 5 years, you could increase your lender's overall potential return by 2%. They would end with a 26% CAGR for having lent you that initial stake. In numbers, it would give something like Figure #4 below.

Figure #4: OPPW 1 Million Portfolio at 60% – Payout at 20%+. 15 years.

PAYOUT SCHEDULE: Loan = $1,000,000 or 10 loans of $100,000. Payout Return: 20%

Init. Cap.	Year	----Outcome----	--Payout--	-- Your Net --	Cost %
$1,000,000	1	1,600,000	1,200,000	400,000	75.000%
$1,000,000	2	2,560,000	1,440,000	1,120,000	56.250%
$1,000,000	3	4,096,000	1,728,000	2,368,000	42.187%
$1,000,000	4	6,553,600	2,073,600	4,480,000	31.641%
For year: 5+, Percent Payout: 22.00%					
$1,000,000	5	10,485,760	2,702,708	7,783,052	25.775%
$1,000,000	6	16,777,216	3,297,304	13,479,912	19.653%
$1,000,000	7	26,843,546	4,022,711	22,820,835	14.986%
$1,000,000	8	42,949,673	4,907,707	38,041,966	11.427%
$1,000,000	9	68,719,477	5,987,403	62,732,074	8.713%
For year: 10+, Percent Payout: 24.00%					
$1,000,000	10	109,951,163	8,594,426	101,356,737	7.817%
$1,000,000	11	175,921,860	10,657,088	165,264,773	6.058%
$1,000,000	12	281,474,977	13,214,789	268,260,188	4.695%
$1,000,000	13	450,359,963	16,386,338	433,973,625	3.638%
$1,000,000	14	720,575,940	20,319,059	700,256,881	2.820%
For year: 15+, Percent Payout: 26.00%					
$1,000,000	15	1,152,921,505	32,030,091	1,120,891,413	2.778%

(*Click here to enlarge*)

You made your billion dollars, but now, your lenders receive $32 million on their million-dollar stake, the equivalent of a 26% return over those 15 years. Your cost is still low at 2.8% of the total gain.

The added 2% every 5 years could be a deal clincher and a worthwhile incentive to keep your lender invested for the duration.

You are compounding year-over-year; any withdrawal would slow you down just as new capital would tend to increase the outcome.

In Figure #4, you more than doubled the payout, going from $15,407,022 to $32,030,091. It is that 2% increase that added value to your lenders. The better part of that is that you are still a billionaire with little added effort.

Simulations of the OPPW strategy have shown compound annual growth rates (CAGR) in the low 80s. Providing you with an incentive to do even better. Each small increment in your OPPW CAGR would bring you more.

Consider raising the average long-term CAGR to 65%. It would give something like Figure #5.

Figure #5: OPPW 1 Million Portfolio at 65% – Payout at 20%+. 15 years.

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PAYOUT SCHEDULE: Loan = $1,000,000 or 10 loans of $100,000. Payout Return: 20%
Init. Cap.   Year  ----Outcome----    --Payout--   -- Your Net --    Cost %
$1,000,000     1        1,650,000     1,200,000          450,000   72.727%
$1,000,000     2        2,722,500     1,440,000        1,282,500   52.893%
$1,000,000     3        4,492,125     1,728,000        2,764,125   38.467%
$1,000,000     4        7,412,006     2,073,600        5,338,406   27.976%
For year:  5+, Percent Payout: 22.00%
$1,000,000     5       12,229,810     2,702,708        9,527,102   22.099%
$1,000,000     6       20,179,187     3,297,304       16,881,883   16.340%
$1,000,000     7       33,295,659     4,022,711       29,272,948   12.082%
$1,000,000     8       54,937,837     4,907,707       50,030,129    8.933%
$1,000,000     9       90,647,430     5,987,403       84,660,028    6.605%
For year: 10+, Percent Payout: 24.00%
$1,000,000    10      149,568,260     8,594,426      140,973,835    5.746%
$1,000,000    11      246,787,629    10,657,088      236,130,542    4.318%
$1,000,000    12      407,199,589    13,214,789      393,984,800    3.245%
$1,000,000    13      671,879,321    16,386,338      655,492,983    2.439%
$1,000,000    14    1,108,600,880    20,319,059    1,088,281,821    1.833%
For year: 15+, Percent Payout: 26.00%
$1,000,000    15    1,829,191,452    32,030,091    1,797,161,361    1.751%
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(*Click here to enlarge*)

Your lender would make the same amount, but you would have increased your portfolio to $1,797,161,361.

It would not have required much-added effort. It would have reduced your total cost to 1.75%. Would you pay 1.75% on your gains to the person(s) giving you the opportunity and privilege of making $1.8 billion?

GOING FOR FIVE MORE YEARS

You could also provide an added incentive to your lenders by offering five more years, even if you no longer needed their support.

Already in Figure #5, you could quit the game, pay out your lenders with a big thank you, and retire. You would be entitled to it.

You can still use the OPPW strategy in retirement, allowing you occasionally to withdraw what you need to complement your living expenses.

The future will be similar to the past.

You can expect the general market to continue rising at its long-term average growth rate. Five more years of trading would be under the same market conditions.

Your investors or lenders were very kind, and you should reciprocate their kindness. Adding five more years with them on board would be a great gift rather than an obligation. Figure #6 below illustrates that story.

Figure #6: OPPW 1 Million Portfolio at 65% – Payout at 20%+. 20 years.

PAYOUT SCHEDULE: Loan = $1,000,000 or 10 loans of $100,000. Payout Return: 20%

Init. Cap.	Year	----Outcome----	--Payout--	-- Your Net --	Cost %
$1,000,000	1	1,650,000	1,200,000	450,000	72.727%
$1,000,000	2	2,722,500	1,440,000	1,282,500	52.893%
$1,000,000	3	4,492,125	1,728,000	2,764,125	38.467%
$1,000,000	4	7,412,006	2,073,600	5,338,406	27.976%
For year: 5+, Percent Payout: 22.00%					
$1,000,000	5	12,229,810	2,702,708	9,527,102	22.099%
$1,000,000	6	20,179,187	3,297,304	16,881,883	16.340%
$1,000,000	7	33,295,659	4,022,711	29,272,948	12.082%
$1,000,000	8	54,937,837	4,907,707	50,030,129	8.933%
$1,000,000	9	90,647,430	5,987,403	84,660,028	6.605%
For year: 10+, Percent Payout: 24.00%					
$1,000,000	10	149,568,260	8,594,426	140,973,835	5.746%
$1,000,000	11	246,787,629	10,657,088	236,130,542	4.318%
$1,000,000	12	407,199,589	13,214,789	393,984,800	3.245%
$1,000,000	13	671,879,321	16,386,338	655,492,983	2.439%
$1,000,000	14	1,108,600,880	20,319,059	1,088,281,821	1.833%
For year: 15+, Percent Payout: 26.00%					
$1,000,000	15	1,829,191,452	32,030,091	1,797,161,361	1.751%
$1,000,000	16	3,018,165,896	40,357,915	2,977,807,981	1.337%
$1,000,000	17	4,979,973,728	50,850,973	4,929,122,755	1.021%
$1,000,000	18	8,216,956,651	64,072,226	8,152,884,425	0.780%
$1,000,000	19	13,557,978,475	80,731,005	13,477,247,470	0.595%
For year: 20+, Percent Payout: 28.00%					
$1,000,000	20	22,370,664,483	139,379,657	22,231,284,826	0.623%

(*Click here to enlarge*)

Based on Figure #6, your lenders get $139,379,657 for having trusted you. Your cost would have dropped to 0.6% of the outcome. On the other hand, you get $22 billion out of the deal.

It is here that you can see the incredible power of long-term compounding. Your lenders now get a 28% CAGR on their investment. We should compare these results with what is generally available from buying and holding SPY over the same period.

There is no financial institution offering a rising CAGR on a fixed initial capital. They will provide higher rates on higher initial stakes but not on the same initial stake as presented in Figures #4, #5, and #6. Certainly not at those CAGR levels.

Say you paid back $32,030,091 to your lenders in year 15. You would continue the next five years from your net at year 15: $17,971,613,607. You would have nothing to pay out since you already paid your lenders in year 15.

Therefore, over the next 5 years, you would increase your portfolio to $\$17,971,613,607 \cdot (1+0.65)^5 = \$219,789,425,423$.

You would have made $3,917,219,407 more by keeping your lenders on board.

Your cost would have been the 2% bonus you gave in year 20. Its value is easy to determine: $\$100000 \cdot [(1+0.28)^{20} - (1+0.26)^{20}] = \$3,765,859$.

All these numbers are ballpark estimates based on the outcome of equation (1). Some years higher and some years lower, but all pointing in the same direction and the same estimated outcomes. Your portfolio will have different numbers with its ups and downs. But overall, it will all get back to $\bar{g}$ from equation (1). You are lucky; $\bar{g}$ is what the OPPW strategy delivers.

A BUSINESS VIEW

A business or financial institution could consider the OPPW strategy as a side bet. A corporation may have a higher initial stake to invest. Adding a zero to Figure #6 would give Figure #7 below.

In such cases, an enterprise may not require external investors. Then, the Outcome column would be the expected outcome. Furthermore, if they borrowed the money, they could have it for a lot less than as given in Figure #7.

They could use the part of the cash reserve that is continually maintained and must be invested anyway.

They could have those funds earn much higher rates than with bonds or money market funds. They would have a highly liquid portfolio instantly convertible to cash. Add or remove sums at will. It would all be under their control.

You have $50 million in cash reserves and put $10 million on the OPPW strategy while the rest is at an average of 12% per year.

You would have:

$$10,000,000 \cdot (1 + 0.65)^{20} + 40,000,000 \cdot (1 + 0.12)^{20} = \$223,803,107,761$$

compared that to:

$$50,000,000 \cdot (1 + 0.12)^{20} = \$482,314,654$$

Even if you had only a 50% CAGR on the OPPW strategy, you would still be ahead:

$$10,000,000 \cdot (1 + 0.50)^{20} + 40,000,000 \cdot (1 + 0.12)^{20} = \$33,638,419,024$$

Just based on the above, and for those having more initial capital or able to borrow more, the OPPW strategy could be a remarkable tool in your investment arsenal.

Figure #7: OPPW 10 Million Portfolio at 65% – Payout at 20%+. 20 years.

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PAYOUT SCHEDULE: Loan = $10,000,000 or 10 loans of $1,000,000. Payout Return: 20%
Init. Cap.   Year  ----Outcome----    --Payout--   -- Your Net --    Cost %
$10,000,000     1        16,500,000    12,000,000        4,500,000   72.727%
$10,000,000     2        27,225,000    14,400,000       12,825,000   52.893%
$10,000,000     3        44,921,250    17,280,000       27,641,250   38.467%
$10,000,000     4        74,120,062    20,736,000       53,384,062   27.976%
For year:  5+, Percent Payout: 22.00%
$10,000,000     5       122,298,103    27,027,082       95,271,021   22.099%
$10,000,000     6       201,791,870    32,973,040      168,818,831   16.340%
$10,000,000     7       332,956,586    40,227,108      292,729,477   12.082%
$10,000,000     8       549,378,367    49,077,072      500,301,294    8.933%
$10,000,000     9       906,474,305    59,874,028      846,600,277    6.605%
For year: 10+, Percent Payout: 24.00%
$10,000,000    10     1,495,682,603    85,944,255    1,409,738,348    5.746%
$10,000,000    11     2,467,876,295   106,570,876    2,361,305,418    4.318%
$10,000,000    12     4,071,995,886   132,147,887    3,939,848,000    3.245%
$10,000,000    13     6,718,793,212   163,863,379    6,554,929,833    2.439%
$10,000,000    14    11,086,008,800   203,190,590   10,882,818,210    1.833%
For year: 15+, Percent Payout: 26.00%
$10,000,000    15    18,291,914,520   320,300,913   17,971,613,607    1.751%
$10,000,000    16    30,181,658,958   403,579,151   29,778,079,807    1.337%
$10,000,000    17    49,799,737,280   508,509,730   49,291,227,551    1.021%
$10,000,000    18    82,169,566,513   640,722,259   81,528,844,253    0.780%
$10,000,000    19   135,579,784,746   807,310,047  134,772,474,699    0.595%
For year: 20+, Percent Payout: 28.00%
$10,000,000    20   223,706,644,831 1,393,796,575  222,312,848,256    0.623%
```

(*Click here to enlarge*)

At this level, the OPPW strategy will, over time, generate its own set of problems, but solutions to these issues are also available. You have years ahead before seeing any impact and, therefore, a lot of time to prepare.

DOING IT MORE THAN ONCE

You are not limited to doing the above only once. You can start new scenarios at any time. For instance, any time you gather enough funds to start a new long-term portfolio, whether it be for $100k, a million, or 10 million. It is all up to you.

You could do your own simulations. The numbers I have used are based on the WL8 simulation results and derived from their long-term average portfolio metrics. Those averages spanned 15 years. These are not your usual three or six-month averages. After 780 trades, they had enough time to settle down to their respective long-term averages.

We still do not know what the future will hold. However, we should consider that the future will resemble the past. It is not a rerun, but I do not doubt that in the future, the stock market will continue to fluctuate and gradually move higher.

From QQQ, you opted to trade its 3x-leveraged version as provided by the TQQQ ETF. Therefore, you can expect to reach about three times the QQQ's long-term daily return. You partially compensated for the long-term return degradation of this 3x-leveraged scenario by trading one week at a time rather than allowing the long-term degradation to take hold. You are playing on the weekly volatility of the overall market.

A 2.5% move in QQQ should result hypothetically in a 7.5% move in TQQQ. This is not rare.

That is where your advantage is. You stand ready to grab that volatility as it goes by. All you require is that the market continues to behave as it has for decades, fluctuating almost widely.

Following your modifications to the program, you could reach even higher results. That is also up to you.

All the scenarios presented will have their daily return swing up and down. The endgame was used to calculate $\bar{g}$ the average CAGR required to reach those results.

For sure, the ride will be bumpy, but that does not change the destination.

It's all about the choices you have to make. You have the tools, the equations, the program, and the know-how to use my version of the OPPW strategy to your benefit and that of others. Add some downside protection for the just-in-case negative scenarios. Study and enhance the OPPW strategy to achieve even higher results.

BUILDING A FUND FOR YOUR CHILDREN

You could set up a fund for your young children in a non-taxable self-managed trading account so that as they reach 20 years old, they could have the outcome of Figures #1, #2, #3, #4, #5, or #6. That too, is a choice you can make. And it is a choice that can make quite a difference in their lives. Even Figure #1 would be a great start.

This series of articles on my version of the OPPW strategy can help clarify the intricacies of its trading methods. The OPPW strategy can provide what you need to reach your goals and achieve financial freedom. Now, you need the determination and perseverance to carry it out.

Your first step will be to secure financing, and I hope the above information provides the necessary motivation and incentive to get you started.

There is nothing mysterious in my version of the OPPW strategy. We should even expect its outcome. You are dealing with a 3x-leveraged scenario based on QQQ.

The OPPW strategy is simple. It requires little of your time and can help you achieve financial freedom within 15 years. This article proposes that you borrow the capital needed to invest in the OPPW strategy, as your highly liquid portfolio can serve as collateral for a loan. If you do not require financing, use the Outcome column in all the charts presented and disregard the Pay Out and Costs % columns. The presented scenarios consider a way to repay the loan as a single payment at the end of the loan's term, with incentives for a prolonged loan term.

Overall, you need to make the same bet on America as Mr. Buffett has made long ago. The US will continue to prosper just as your country will. I put my efforts into studying the US market. I am sure you have similar opportunities in your own country.

Make the **One Percent Per Week** TQQQ trading strategy your own.

Pass this article to anyone you think might be interested.

The future is yours.

Related Papers and Articles:

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